Balance of Payments Accounting

BoP

Prof. Kalyan Kolukuluri

November 3, 2024

IIM Visakhapatnam

Table of Contents

1. External Accounts

2. Open Macroeconomy - Essentials

Learning Obectives

- Understand External Accounts
- Learn about components of Balance of Payments Accounts

External Accounts

Balance of Payments (BoP)

External Accounts

External Accounts

BoP Acc

A nation's BOP measures the international flow of goods, services, and capital during a one-year period (flow concept).

IIP

A nation's international investment position measures total amount and distribution of assets abroad and foreign assets in the nation at the end of the year (stock concept).

Credit and Debit Transactions

Credit (+)

- Transactions that involve receipt of payments from foreign sources.
- Exports of Goods and Services
- Unilateral transfers (gifts) from foreigners
- Financial inflows (Rise ↑ in foreign assets in a nation; Reduction ↓ in a nation's assets abroad).

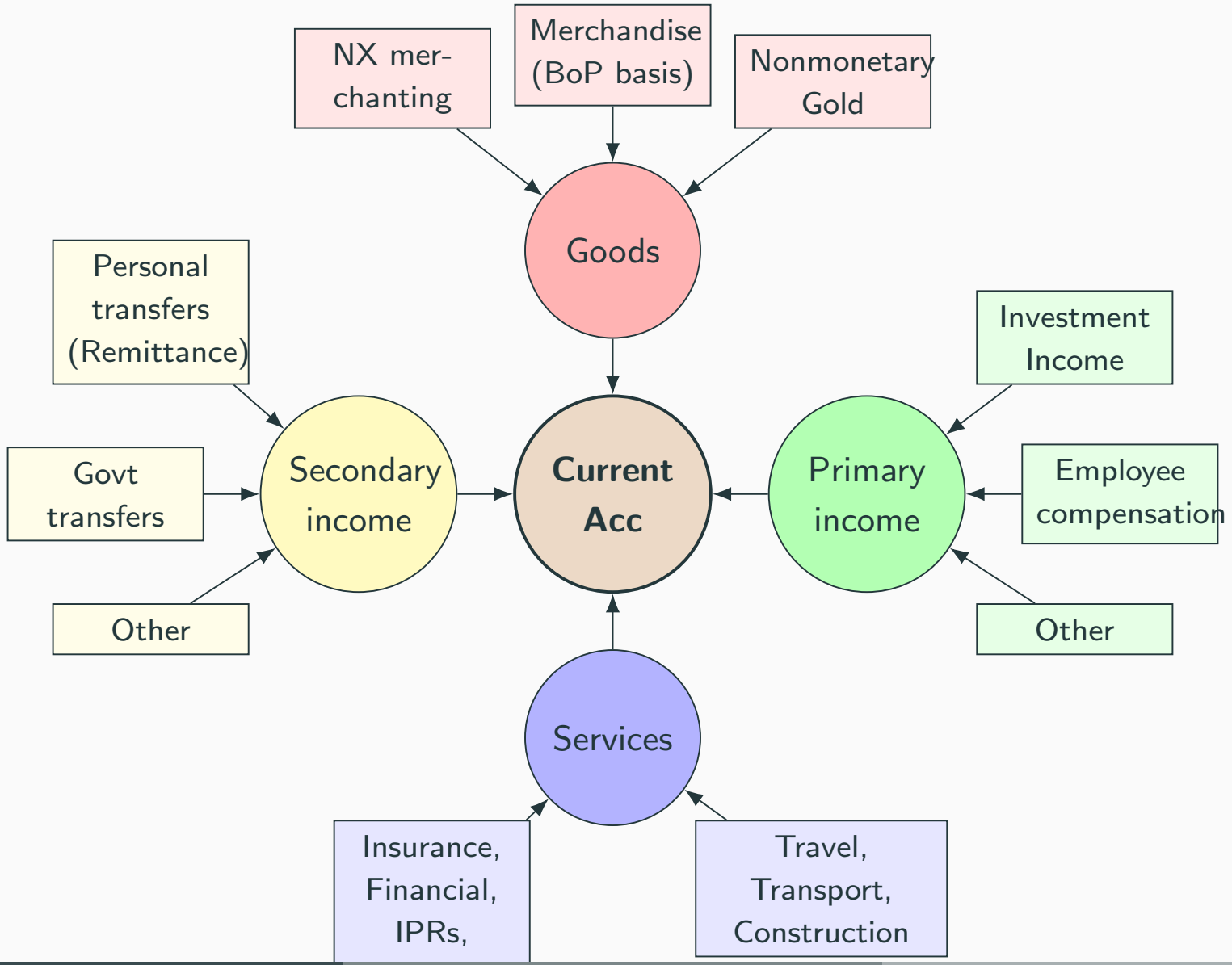
Debit (-)

- Transactions that involve payments to foreign sources.
- Imports of Goods and Services
- Unilateral transfers (gifts) to foreigners
- Financial outflows (Rise ↑ in a nation's assets abroad; Reduction ↓ in foreign assets in a nation).

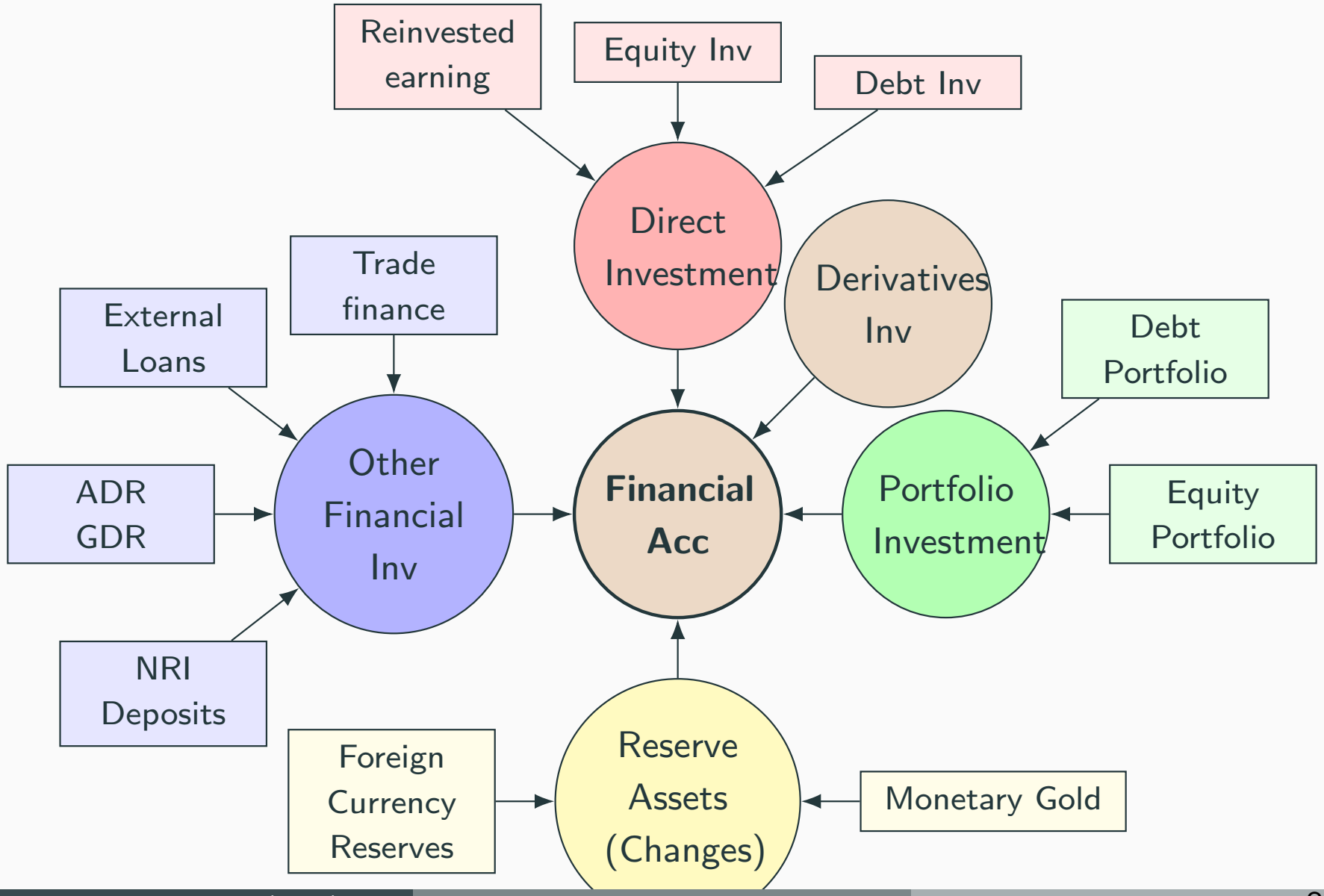
Double entry book-keeping

In BoP accounting, each international transaction is recorded twice – once as a credit and once as a debit.

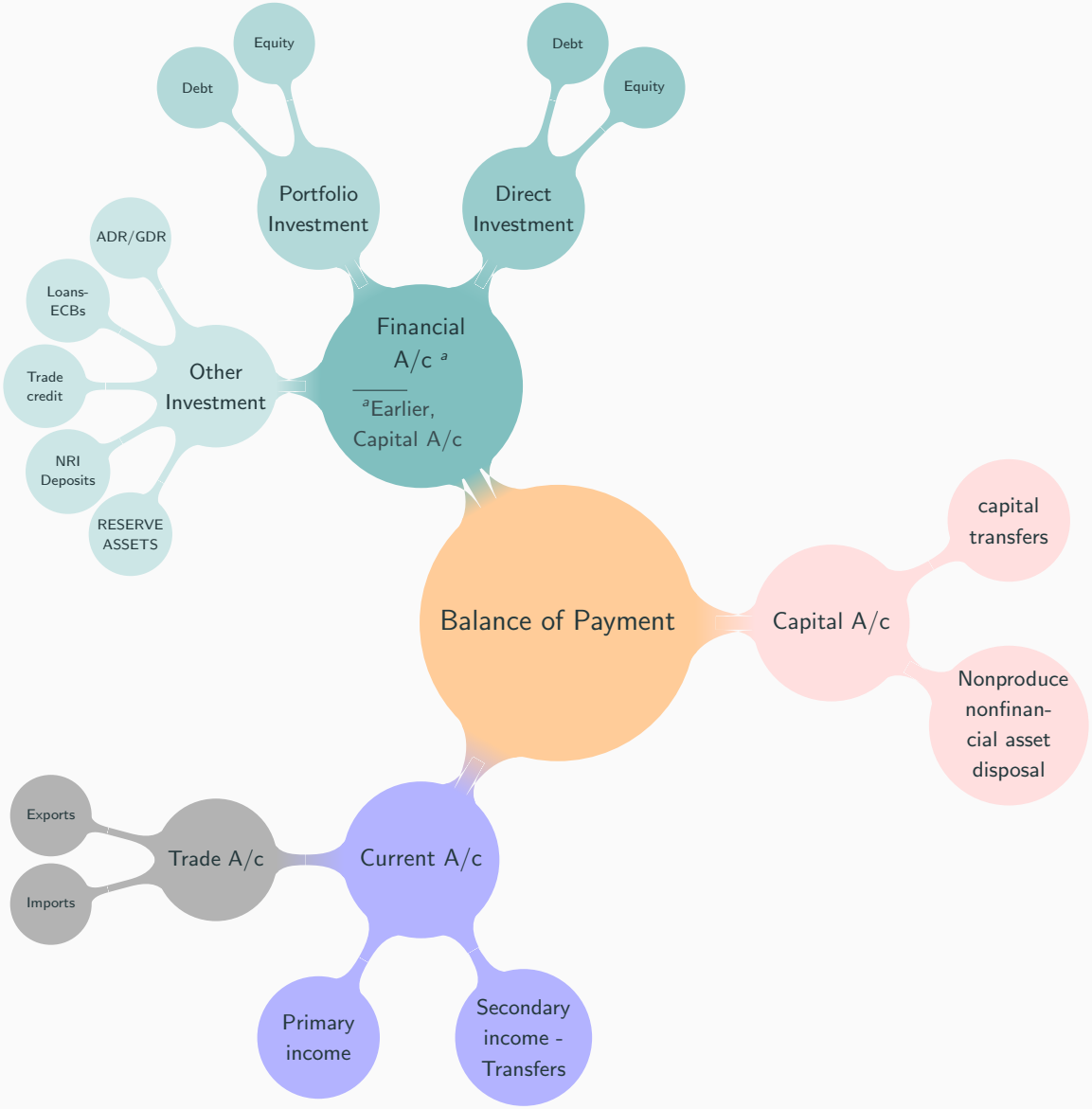
Current Account



Financial Account



BOP Account


Equity
Debt
Portfolio Investment
Debt
Equity
Direct Investment
ADR/GDR
Loans-ECBs
Trade credit
NRI Deposits
RESERVE ASSETS
Other Investment
Financial A/c [a]
[a]Earlier, Capital A/c
Balance of Payment
capital transfers
Capital A/c
Nonproduce nonfinan-cial asset disposal
Exports
Imports
Trade A/c
Current A/c
Primary income
Secondary income - Transfers

SDRs

Special Drawing Rights: (SDR) is an international reserve asset, created by the IMF in 1969 to supplement its member countries' official reserves.

- SDR is neither a currency nor a claim on the IMF. It is a potential claim on the freely usable currencies of IMF members
- Originally, SDR = 0.89 grams of fine gold
- Now, 1 SDR = Weighted basket of five currencies.

Currency	Weights (2022)	Fixed units of currency
US dollar	43.38	0.57813
Euro	29.31	0.37379
Chinese Renminbi	12.28	1.0993
Japanese Yen	7.59	13.452
Pound Sterling	7.44	0.08087

Open Macroeconomy - Essentials

CircularFlow

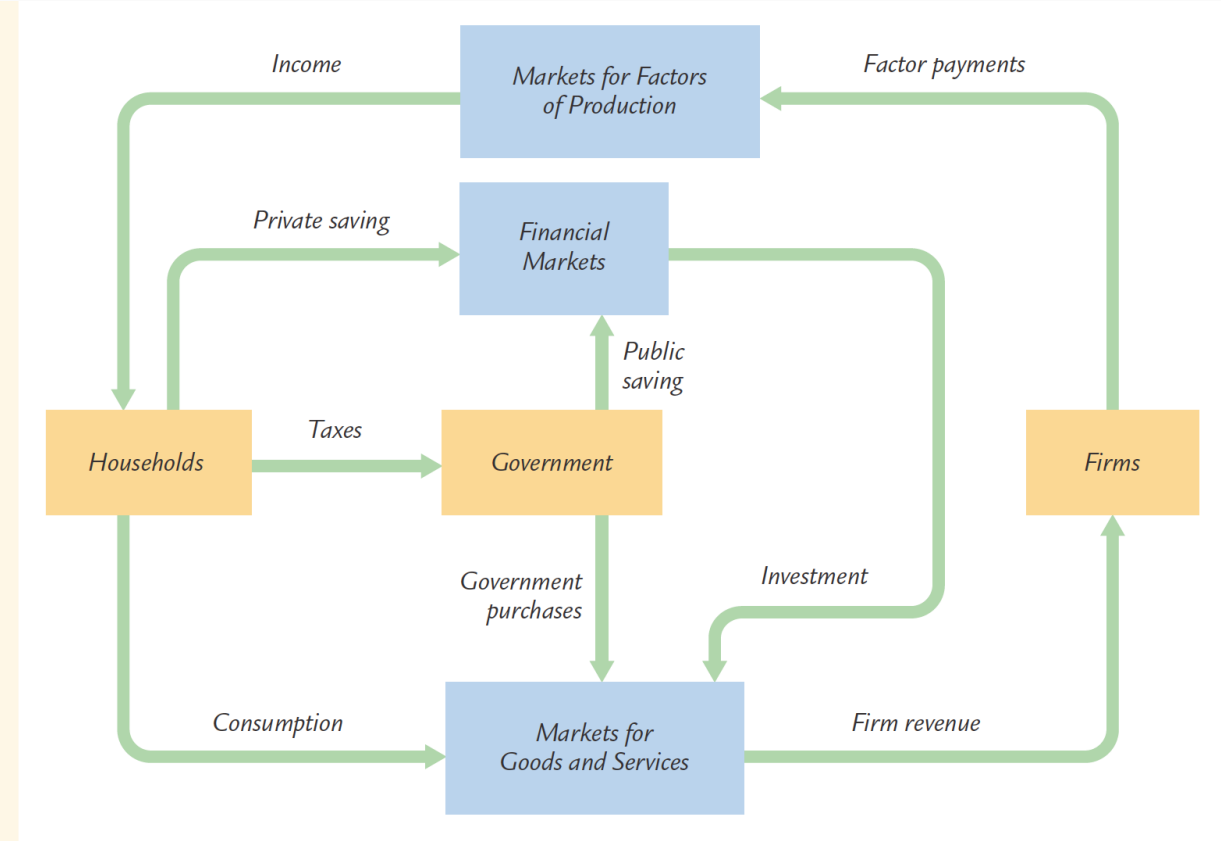


Figure 1: Circular Flow in a Macroeconomy

Open Economy - Identity

In an Open economy the expenditure-income identity is:

$$Y = C + I + G + X - M \tag{1}$$

$$\underbrace{Y - C - T}_{\text{Private Saving}} = I + \underbrace{G - T}_{\text{Gov. Deficit}} + \underbrace{X - M}_{\text{Net Exports (NX)}} \tag{2}$$

$$S^{\text{pvt}} - I = \underbrace{G - T}_{\text{Gov. Deficit}} + \underbrace{X - M}_{\text{Net Exports (NX)}} \tag{3}$$

Open Economy - Identity

In an Open economy the expenditure-income identity is:

$$Y = C + I + G + X - M \tag{1}$$

$$\underbrace{Y - C - T}_{\text{Private Saving}} = I + \underbrace{G - T}_{\text{Gov. Deficit}} + \underbrace{X - M}_{\text{Net Exports (NX)}} \tag{2}$$

$$S^{\text{pvt}} - I = \underbrace{G - T}_{\text{Gov. Deficit}} + \underbrace{X - M}_{\text{Net Exports (NX)}} \tag{3}$$

Uses of Domestic Private Savings in an Open economy

Uses of Domestic Private Savings in an Open economy

$$S^{PVT} = I + NX + \text{Gov. Deficit}$$

- Private Saving

Uses of Domestic Private Savings in an Open economy

Uses of Domestic Private Savings in an Open economy

$$S^{PVT} = I + NX + \text{Gov. Deficit}$$

- Private Saving
- Investment Spending

Uses of Domestic Private Savings in an Open economy

Uses of Domestic Private Savings in an Open economy

$$S^{PVT} = I + NX + \text{Gov. Deficit}$$

- Private Saving
- Investment Spending
- Net Exports

Uses of Domestic Private Savings in an Open economy

Uses of Domestic Private Savings in an Open economy

$$S^{PVT} = I + NX + \text{Gov. Deficit}$$

- Private Saving
- Investment Spending
- Net Exports
- Goverrnment Deficits (Negative Public Saving)

Importance of Current Account Balance

Importance of Current Account

$$\underbrace{(M - X)}_{\text{Current Acc. Deficit}} = \underbrace{G - T}_{\text{Govt. Deficit}} + \underbrace{I - S^{\text{pvt}}}_{\text{Pvt Sector Deficit}}$$

Videos

Special Drawing Rights - Video

The End